

WHY THE DEAL

■ The Indo-US Civilian Nuclear Deal signed by George Bush and Manmohan Singh on July 18, 2005, was meant to remove a major irritant—India's nuclear ambitions—that had held hostage relations between the two.

■ To do that, the US had to dismantle the complex architecture that it had set up to isolate India after its 1974 nuclear test and deny it access to civilian nuclear technology from any other country as well.

■ That involved amendments to be passed in the US Atomic Energy Act to allow US companies to trade with India. Also a waiver in the 45-nation Nuclear Suppliers Group.



WHY INDIA WAS KEEN ON IT



■ The nuclear power sector had suffered a severe setback and was facing a crippling shortage of fuel. Also, India couldn't import new technology or reactors from other countries.

■ It was a good deal as it allowed India access to civilian nuclear technology while keeping its option to develop its nuclear weapons programme without hindrance.

■ The US was looking for a strong counterweight to China and its growing dominance in Asia and the world. India was key to its strategic gameplan in the region.

■ The nuclear deal would remove the years of mistrust between the two apart from allowing US firms to compete for nuclear and defence projects.

WHY THE US PUSHED FOR IT



PACT MAP

JULY 18, 2005

INDIA AND THE US SIGN the landmark Civilian Nuclear Agreement in Washington DC and surprise the world.

MARCH 2, 2006

SEPARATION PLAN is initiated by India and the US that lists out which reactors Delhi would put under safeguards.

DECEMBER 18, 2006

THE HYDE ACT PASSED by the US Congress is enacted into law by Bush amending the US Atomic Energy Act.

India fitted into both categories. Meanwhile, the US negotiated a bilateral 123 Agreement with India that laid the framework for their civilian trade. It was agreed that India would place in phases 14 of its 22 power reactors under International Atomic Energy Agency (IAEA) safeguards. Delhi then negotiated an India-specific safeguards agreement with the IAEA, after Manmohan won a trust vote in July this year.

The biggest breakthrough came last month when the US got the NSG countries to make an exception to trade with India. It meant that India could conduct civilian trade with not just the US but with the entire world. Last month's battle in the US Congress to get the 123 ratified was Bush's final salvo to push the deal through that culmi-

nated with him signing it into law. It was to be followed by External Affairs Minister Pranab Mukherjee and US Secretary of State Condoleezza Rice inking the 123 Agreement in Washington DC.

Typically, the opposition to the deal from the BJP and the Left came thick and fast. Both parties had bitterly opposed it and denounced the signing as a sellout of India's nuclear sovereignty. In Parliament later this month they would once again haul Manmohan over the coals by going over the fine print of the deal. But nothing they would say or do would rob Manmohan of his moment of glory. Like Bush, he too is credited with pulling off a foreign policy coup that has not only defined his prime ministerial tenure but has

also set the agenda for the nation and possibly for the next election.

So why is it such a big deal for India and for its nuclear establishment? Few know that India's nuclear power reactors are running at 50 per cent of their capacity because of a crippling shortage of uranium fuel. Four of its new reactors cannot be commissioned because there is no fuel available to start them up. Fewer know that the main reason for India's nuclear power sector stagnating at 4,100 MW—when it should have been 10,000 MW eight years ago—was because of the ring of sanctions against the industry. And that India has only fuel enough to support 10,000 MW of nuclear-generated power when it has plans for over 60,000 MW.

There were far more important